Type MS · Business objectives: financial, non-financial and social

Answer 1 of 18 · Question 2 part c · 3 marks

2025 NOV · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

2 (a)	**AO2 – 1 mark** Award 1 mark for a reason why *Samsung* may need long term finance. • To fund the research and development of new smartphones **(1)** • To build a new factory to manufacture laptops **(1)** **NB** Do not accept a reason that is not in the context of *Samsung*. Accept any appropriate response.	**(1)**

Q. No.	State **one** reason why quality control is a benefit to *Samsung* **Answer**	**Mark**
2 (b)	**AO2 – 1 mark** Award 1 mark for a valid reason why quality control is a benefit to *Samsung* • Poor quality laptops are likely to be detected before they are shipped to customers **(1)** **NB** Do not accept a reason that is not in the context of *Samsung*. Accept any appropriate response.	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 1 of 18 · Question 2 part c · 3 marks

2025 NOV · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Q. No.	Explain **one** advantage to a business of having a social objective. **Answer**	Mark
2 (c)	**AO1 – 3 marks** Award 1 mark for identification of an advantage to a business of having a social objective , plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • The business can gain a good reputation **(1)** from creating a positive impact on society **(1)** resulting in more potential customers **(1)** • The business may attract employees **(1)** who are interesting in environmental problems **(1)** leading to a wider pool of talent/skills in the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** limitation of a break-even chart. **Answer**	Mark
2 (d)	**AO1 – 3 marks** Award 1 mark for identification of one limitation of a break-even chart plus 2 further marks for explaining the limitations, for a maximum of 3 marks. • Break-even is based on predictions **(1)** which may result in incorrect forecast **(1)** leading to wasted resources **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

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Type MS · Business objectives: financial, non-financial and social

Answer 1 of 18 · Question 2 part c · 3 marks

2025 NOV · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Q. No.	Explain **one** benefit to a business of being located within a trading bloc. **Answer**	Mark
2 (e)	**AO1 – 3 marks** Award 1 mark for identification of one benefit to a business of being located within a trading bloc, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • There is the potential for a business to increase sales **(1)** because a trading bloc encourages trade between member countries **(1)** therefore a business has a wider pool of customers **(1)** • Costs of imported materials may decrease for the business **(1)** as tariffs are likely to be reduced or eliminated in the trading bloc **(1)** allowing the business to potentially increase its profits **(1)** **NB** No marks are awarded for a definition. Answers that list three effects with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

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Type MS · Business objectives: financial, non-financial and social

Answer 1 of 18 · Question 2 part c · 3 marks

2025 NOV · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Q. No.	**Option 1:** Sponsor celebrities to use its products **Option 2:** Provide a free game app to customers when they purchase a product Justify which one of these two options *Samsung* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *Samsung* could pay fees to a celebrity for using its smartphones as a way of getting publicity for its products • **Option 2** – free game applications may encourage young people to buy a *Samsung* smartphone rather than one from *Apple* **AO3** • **Option 1** – People are influenced by celebrities and if they see their idols using the smartphone they may be encouraged to buy the same one • **Option 2** – Some consumers may perceive the free apps as an attractive special offer which may persuade them to choose the *Samsung* smartphone rather than any other alternative **AO4** • **Option 1** – However, if the person chosen by *Samsung* to advertise its products is involved in a scandal this may ruin the reputation of *Samsung* and lead to a decrease in demand • **Option 2** – However, some people will be more concerned with other features/apps on a smartphone and may not be attracted to the special offer of free games	**(9)**

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Type MS · Business objectives: financial, non-financial and social

Answer 1 of 18 · Question 2 part c · 3 marks

2025 NOV · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Business objectives: financial, non-financial and social

Answer 1 of 18 · Question 2 part c · 3 marks

2025 NOV · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Q. No.	Define the term **exporter.** **Answer**	Mark

1 (a) (i)	**AO1 - 1 mark** **B -** Government reports	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **C -** Increased market share	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A -** Bank loan	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **C –** Production	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **A -** 2 489.60 Ks	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 - 1 mark** **D -** The cost of importing a handbag would fall	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of stakeholder. • Individuals or groups with an interest in the success or failure of a business **(1).**	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 2 of 18 · Question 1 part a.ii · 1 mark

2019 JUN · Paper 01 · extract 2 of 5 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of quantitative data. • Data that is measured by value and expressed/represented as numbers **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid response which relates to a method of on-the-job training in the context of the business. • Shadowing a fellow shoe fitter **(1).** • Demonstrating how customers are advised between different shoe brands **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 500 500/ 570 000 x 100 **(1)** Answer 87.81% **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Business objectives: financial, non-financial and social

Answer 2 of 18 · Question 1 part a.ii · 1 mark

2019 JUN · Paper 01 · extract 3 of 5 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of a way, plus 2 further marks for explaining how this way will affect a business for a maximum of 3 marks. • A business could negotiate deals with suppliers at a cheaper rate **(1)** this will keep costs as low as possible **(1)** meaning that the business can look to reduce the prices of their products/services to encourage more sales **(1).** Answers that list three ways with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 2 of 18 · Question 1 part a.ii · 1 mark

2019 JUN · Paper 01 · extract 4 of 5 · find part a.ii in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Backyard Shoez* is located in three shopping malls where there are other shoe shops. • *Backyard Shoez* need to maintain a high standard at all times to encourage customers to buy its shoes and bags. **AO3** • If customer needs are not met then present customers are likely to go to other shoe shops. • *Backyard Shoez* will maintain customer loyalty with positive effects on sales and revenue.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Business objectives: financial, non-financial and social

Answer 2 of 18 · Question 1 part a.ii · 1 mark

2019 JUN · Paper 01 · extract 5 of 5 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark

Type MS · Business objectives: financial, non-financial and social

Answer 3 of 18 · Question 2 part a · 1 mark

2019 JUN · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason for a non-financial objective in the context of the business. • Social objectives of working with the local area and helping children and communities **(1)**. • *Tata Motor Company* wants a good image of producing a car that does not harm the environment too much **(1)**. **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason of employing casual staff in the context of the business. • When *Tata Motor Company* is busy, with many new orders for its vehicles **(1)**. • When someone is off on long-term sick from the production line **(1)**. **Accept any other appropriate response.**	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 3 of 18 · Question 2 part a · 1 mark

2019 JUN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason for using fringe benefits, plus 2 further marks for explaining why fringe benefits are beneficial for a business, for a maximum of 3 marks. • Employees will be motivated. **(1)** This could lead to improvement in productivity **(1)** and higher sales **(1).** NB Answers that list three benefits with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason to use job production, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Job production is used to produce a unique piece of work. **(1)** It is made to meet the exact needs of the customer **(1)** that requires time and skills of the employees **(1).** Answers that list three reasons with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response**.	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 3 of 18 · Question 2 part a · 1 mark

2019 JUN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit of a short chain of command, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • A short chain of command means that communication between workers and managers is less **(1)**. Therefore there is less chance of messages being mistaken **(1)**. Managers are less remote and therefore if there is a problem they can sort it out quicker **(1)**. Answers that list three benefits of short chains of commands with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 3 of 18 · Question 2 part a · 1 mark

2019 JUN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – With cost plus pricing *Tata Motor Company* know that the cost of making the vehicle has been covered. • **Option 2** – If *Tata Motor Company* uses promotional pricing it is a good strategy for selling new vehicles. **AO3** • **Option 1** – *Tata Motor Company* knows that if the cars are selling well it is making money, which means more profit for the business. • **Option 2** – The lower price from the promotional price will result in higher sales. **AO4** • **Option 1** – Although this type of pricing method guarantees a profit on the cost of manufacturer it does not guarantee that sales are going to be made, especially if a competitor is cheaper, therefore selling more vehicles. • **Option 2** - Even though the sales may be higher, the profit per vehicle will be lower.	**(9)**

Type MS · Business objectives: financial, non-financial and social

Answer 3 of 18 · Question 2 part a · 1 mark

2019 JUN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Business objectives: financial, non-financial and social

Answer 3 of 18 · Question 2 part a · 1 mark

2019 JUN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark

Type MS · Business objectives: financial, non-financial and social

Answer 4 of 18 · Question 1 part a.i · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 6 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D – Personal satisfaction** A is not correct because it is a financial business objective B is not correct because it is a financial business objective C is not correct because it is a financial business objective	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is A - Rising star** B is not correct because it is a process carried out for health and safety at work C is not correct because it is in relation to branding D is not correct because it is part of the product life cycle	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 = 1 mark** **The only correct answer is B - Bonus** A is not correct because it is a financial method of motivation that is not added to a basic wage C is not correct because it is a non-financial method of motivation that is not added to a basic wage D is not correct because it is a method of payment where workers get paid for each item produced	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 4 of 18 · Question 1 part a.i · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 6 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iv)	**AO1 = 1 mark** **The only correct answer is A - Growth** B is not correct because this is phase 4 on figure 1 C is not correct because this is phase 1 on figure 1 D is not correct because this is phase 3 on figure 1	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is B - 150%** A is not correct because this is profit per item C is not correct because this is selling price per course + cost per item D is not correct because this is selling price per course/ cost per item x100	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 = 1 mark** **The only correct answer is D - 9 675.90 JPY** A is not correct because this is the cost of the course B is not correct because this is the exchange rate of the JPY C is not correct because this is the cost of the course multiplied by 148	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 4 of 18 · Question 1 part a.i · 1 mark

2020 NOV · Paper 01 (regional R) · extract 3 of 6 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of capital intensive production. • Production methods that make more use of machinery than labour (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of quantitative data. • Data that is expressed as number (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a reason why Tom Baker operates his business as a social enterprise. • He could use his profits to help his local community (1). **Accept any other appropriate response.**	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 4 of 18 · Question 1 part a.i · 1 mark

2020 NOV · Paper 01 (regional R) · extract 4 of 6 · find part a.i in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 23 546 x 0.03 = 706.38 (1) 23 546 + 706.38 = 24 252.38 (1) **OR** 23 546 x 103 (1) = 24 252.38 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a method of increasing profit, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Profits could be increased by cutting costs (1). A small business could cut the number of workers it has or reduce their hours (1) so if the revenue stays the same this will increase the profit (1). **NB** Answers that list three methods with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 4 of 18 · Question 1 part a.i · 1 mark

2020 NOV · Paper 01 (regional R) · extract 5 of 6 · find part a.i in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • There is more interest in businesses becoming 'green' and *Loaf* provides somewhere for the community to recycle. • *Loaf* operates the 'Waste Not' scheme by giving away waste instead of disposing of it to reduce the amount the business disposes of. **AO3** • If the business is able to recycle packaging then it can cut costs leading to more profit to be contributed back to the local community, customers will be happy about this as they can physically see their local area being helped. • This is important for *Loaf* as customers will be able to see that the business is helping charities, meeting its social objectives and reducing any waste that it produces as a business.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Business objectives: financial, non-financial and social

Answer 4 of 18 · Question 1 part a.i · 1 mark

2020 NOV · Paper 01 (regional R) · extract 6 of 6 · find part a.i in this mark scheme extract

Question Number	Answer	Mark

Type MS · Business objectives: financial, non-financial and social

Answer 5 of 18 · Question 3 part b · 2 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

3 (a)	**AO1 = 1 mark** Award 1 mark for the correct definition of liquidity. • Liquidity is how easily a business can change its assets into cash (1).	**(1)**

Question Number	Answer	Mark
3 (b)	**AO2 = 2 marks** Award 1 mark for identifying a possible financial objective *TADS* might have. One further mark for outlining it in the context of the business. • Ollie is looking to increase his profits (1). He could do this by increasing the number of instruments taught (1).	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 – 2 marks** Net cash flow = 7 000 – 3 000 = 4 000 (1) Closing balance = 4 000 + 4 000 = 8 000 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Business objectives: financial, non-financial and social

Answer 5 of 18 · Question 3 part b · 2 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **A02** • If *TADS* has sufficient cash it can pay its electricity bills for the music studio. • If *TADS* runs out of cash it means it cannot pay its music teachers. **A03** • If *TADS* cannot afford to pay its bills, then the electricity would be cut and no lessons could take place. • If *TADS* can no longer pay its teachers, it cannot offer any music lessons.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Business objectives: financial, non-financial and social

Answer 5 of 18 · Question 3 part b · 2 marks

2020 NOV · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – Teaching other musical instruments will bring in new music students and revenue. • Option 2 – By offering online lessons more students will be able to take drum lessons and therefore increase revenue. **AO3** • Option 1 – This would increase its target market due to the wider range of musical instruments being offered leading to an increase in revenue. • Option 2 – This would increase revenue as more students can be taught at the same time in different locations around the country and the world. **AO4** • Option 1 – However, although this may lead to more revenue for the business it would need to find and pay additional teachers to provide this service. • Option 2 – However, there could be technical issues that might lead to lessons being interrupted and not delivered, giving *TADS* a bad reputation.	**(9)**

Type MS · Business objectives: financial, non-financial and social

Answer 5 of 18 · Question 3 part b · 2 marks

2020 NOV · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Business objectives: financial, non-financial and social

Answer 5 of 18 · Question 3 part b · 2 marks

2020 NOV · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Business objectives: financial, non-financial and social

Answer 6 of 18 · Question 1 part a.ii · 1 mark

2021 NOV · Paper 02 · extract 1 of 6 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **A –** It is a more up to date method of research B – is incorrect as it is very time-consuming C – is incorrect as it is more expensive D – is incorrect as it is carried out by a variety of people not just agencies	**(1)**

Question Number	Which **one** of the following is a financial objective? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **B –** Market share A – is incorrect as personal satisfaction is not financial C – is incorrect as independence is not financial D – is incorrect as control is not financial	**(1)**

Question Number	Which **one** of the following is the total revenue for a day? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** – £2 400 A – is incorrect as £600 is the fixed cost B – is incorrect as £1 800 is £600 x £3.00 D – is incorrect as £600 x £12.00	**(1)**

4BS1 02 November 2021

Type MS · Business objectives: financial, non-financial and social

Answer 6 of 18 · Question 1 part a.ii · 1 mark

2021 NOV · Paper 02 · extract 2 of 6 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following would be a disadvantage for a partner in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **B –** Liability for all debts A – is incorrect as sharing the workload is a benefit C – is incorrect as access to more capital is a benefit D – is incorrect as sharing skills is a benefit	**(1)**

Question Number	What would be the brand value in 2019? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** $8.66 billion A – is incorrect as 6.20 is 14/10 = 1.4 7.6 – 1.4 = 6.2 B – is incorrect as 7.74 is 7.6 plus .14 D – is incorrect as 10.64 is 76 x .14	**(1)**

Question Number	Which **one** of the following is a source of long-term finance? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **D –** Bank loan A – is incorrect as an overdraft is short term finance B – is incorrect as sales revenue is funds made from sales C 0 is incorrect as a bank loan is not long term finance.	**(1)**

4BS1 02 November 2021

Type MS · Business objectives: financial, non-financial and social

Answer 6 of 18 · Question 1 part a.ii · 1 mark

2021 NOV · Paper 02 · extract 3 of 6 · find part a.ii in this mark scheme extract

Question Number	Define the term **sole trader**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of sole trader. • A business owned exclusively by one person **(1)**	**(1)**

Question Number	Define the term **demographics**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of demographics. • A particular section of the population **(1)**	**(1)**

Question Number	State **one** reason why *Huawei* may use share capital as a source of finance. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using share capital in the context of the business. • *Huawei* does not have to pay the funds back it can use the money to pay the salaries of the smartphone designers **(1)** • *Huawei* can use the money raised as it wishes such as investing in new technology **(1)** **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to two decimal places, the operating profit margin for *Huawei*. **Answer**	**Additional guidance**	**Mark**

4BS1 02 November 2021

Type MS · Business objectives: financial, non-financial and social

Answer 6 of 18 · Question 1 part a.ii · 1 mark

2021 NOV · Paper 02 · extract 4 of 6 · find part a.ii in this mark scheme extract

1 (e)	**A02 - 2 marks** = 73 287 ÷ 721 202 x 100 **(1)** = 10.16 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage for a business of using **sponsorship**. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of a business of using sponsorship, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By sponsoring an event the business will gain publicity **(1)** the event could be local, national or global **(1)** this would mean the business would cover a wide spectrum of people **(1)** • By sponsoring an event brand awareness will be increased **(1)** this could encourage followers of the event to consider purchasing from the business **(1)** leading to increased revenue/profits **(1)** NB Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Business objectives: financial, non-financial and social

Answer 6 of 18 · Question 1 part a.ii · 1 mark

2021 NOV · Paper 02 · extract 5 of 6 · find part a.ii in this mark scheme extract

Question Number	Analyse the benefits of *Huawei* of locating its factories near to its labour sources. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By locating a factory in an area where there is a skilled labour force it could reduce training costs • *Huawei* may need certain skills to operate manufacturing machinery for its products e.g. smartphones **AO3** • The money saved could then be used for other purposes within *Huawei* • If those skills are available the factory may become more productive and efficient in manufacturing smartphones	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Business objectives: financial, non-financial and social

Answer 6 of 18 · Question 1 part a.ii · 1 mark

2021 NOV · Paper 02 · extract 6 of 6 · find part a.ii in this mark scheme extract

Question Number	State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage. **Answer**	**Mark**

Type MS · Business objectives: financial, non-financial and social

Answer 7 of 18 · Question 1 part a.ii · 1 mark

2022 JUN · Paper 01 · extract 1 of 6 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Niche marketing** **A –** this is not correct because it is a form of promotion to the whole market **C** – this is not correct because it is a percentage that the business has of a specific market **D** – this is not correct because it is the activity of gathering information about conditions affecting a market	**(1)**

Question Number	Which **one** of the following is a financial aim for a business? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A - Survival** **B –** this is not correct because it is a non-financial aim **C –** this is not correct because it is a non-financial aim **D –** this is not correct because it is a non-financial aim	**(1)**

Question Number	Which **one** of the following is a variable cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Raw materials** **A** – this is not correct because it is a fixed cost **B** – this is not correct because it is a fixed cost **C** – this is not correct because it is a fixed cost	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 7 of 18 · Question 1 part a.ii · 1 mark

2022 JUN · Paper 01 · extract 2 of 6 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following is a role of the production function? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B – Quality control** **A –** this is not correct because it is a role of the human resources function **C –** this is not correct because it is a role of the marketing function **D –** this is not correct because it is a role of the human resources function	**(1)**

Question Number	Which **one** of the following is the markup on the packs of balloons? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 134.72** % **A –** this is not correct because it is the cost of the balloon pack **B –** this is not correct because it is the profit of the balloon pack **C –** this is not correct because it is the profit x cost of the balloon pack	**(1)**

Question Number	Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is D – 206.18 MYR** **A –** this is not correct because it is the price of one balloon pack **B –** this is not correct because it is the price of four balloon packs in Singapore Dollars divided by 3.05 **C –** this is not correct because it is the price of four balloon packs	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 7 of 18 · Question 1 part a.ii · 1 mark

2022 JUN · Paper 01 · extract 3 of 6 · find part a.ii in this mark scheme extract

Question Number	Define the term **primary sector.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of primary sector. • The extraction of raw materials from the earth **(1)**.	**(1)**

Question Number	Define the term **diseconomies of scale.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • When the average unit cost increases due to the growth of a business **(1).**	**(1)**

Question Number	State **one** factor *TBTS* should consider when selecting its manufacturers. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a factor *TBTS* should consider when selecting its manufacturers in the context of *TBTS*. • *TBTS* should select manufacturers that produce toys in an environmentally friendly way **(1)**. **NB** Do not accept a factor that is not in the context of *TBTS* **Accept any other appropriate response.**	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 7 of 18 · Question 1 part a.ii · 1 mark

2022 JUN · Paper 01 · extract 4 of 6 · find part a.ii in this mark scheme extract

Question Number	Calculate the total costs for *TBTS*. **Answer**	**Additional guidance**	**Mark**
1 (e)	Calculate the total costs for *TBTS*. **A02 - 2 marks** 555.31 + (0.93 x 160) **(1)** = 704.11 **(1)**	 Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage of being a sole trader. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of being a sole trader, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Sole traders have full control of their business **(1)** this means they can run the business how they want **(1)** without having to consult with anyone when making decisions **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 7 of 18 · Question 1 part a.ii · 1 mark

2022 JUN · Paper 01 · extract 5 of 6 · find part a.ii in this mark scheme extract

Question Number	Analyse the likely impact of external factors on business decisions made by *TBTS*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Social factors can help *TBTS* as changes in society shows customers might be demanding more environmentally friendly toys • Technological advances could increase the cost of buying or the price of a range of toys **AO3** • This will make TBTS more competitive and bring more customers into the toy shops as they are acting in a responsible way for the environment whilst selling high quality goods • If the technology in toys increases rapidly then TBTS could be left with unwanted stock as customers buy the newer toys	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Business objectives: financial, non-financial and social

Answer 7 of 18 · Question 1 part a.ii · 1 mark

2022 JUN · Paper 01 · extract 6 of 6 · find part a.ii in this mark scheme extract

Question Number	State **one** way *TBTS* can measure its success as a business **Answer**	Mark

Type MS · Business objectives: financial, non-financial and social

Answer 8 of 18 · Question 2 part a · 1 mark

2022 JUN · Paper 02 · extract 1 of 7 · find part a in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a financial objective in the context of the business. • *LEGO* wants to maintain its market share in the toy sector **(1)** • By achieving financial security, it allows *LEGO* to provide employment for its 18,000 employees **(1)** **NB** Do not accept if the objective is not in the context of *LEGO*. **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *LEGO* does not recruit casual employees. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *LEGO* do not employ casual employees in the context of the business. • Casual employees may not have the commitment to ensuring that the art materials they produce are of the high standard set by *LEGO* **(1)** • Casual employees may take longer to understand how the Harry Potter games are labelled and packed ready for despatch **(1)** **NB** Do not accept a reason that is not in the context of *LEGO*. **Accept any other appropriate response.**	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 8 of 18 · Question 2 part a · 1 mark

2022 JUN · Paper 02 · extract 2 of 7 · find part a in this mark scheme extract

Question Number	Explain **one** reason why a business would pay its employees above the minimum wage. **Answer**	**Mark**
2 (c)	**A01 - 3 marks** Award 1 mark why a business would pay its employees above the minimum wage, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Paying above the minimum wage will encourage more employees to work at a business **(1)** as they could be paid more than at a competitor **(1)** and they are likely to stay with the business because of the payment they receive **(1)** • Employees will feel more rewarded because of the pay they receive **(1)** and this could increase their motivation at work **(1)** and also improve their productivity **(1)** NB No marks are awarded for a definition. Answers that list three reasons why a business would pay above minimum wage with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 8 of 18 · Question 2 part a · 1 mark

2022 JUN · Paper 02 · extract 3 of 7 · find part a in this mark scheme extract

Question Number	Explain **one** reason why product trials are important to a business. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why product trials are important, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Gain customer feedback on a new product **(1)** identify strength/weaknesses/problems **(1)** which can then be addressed before the product enters the wider market **(1)** • By offering a customer a three month trial on electronic games **(1)** the customer can find out if they like the games **(1)** and if they do, they may a purchase the game console **(1)** NB No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 8 of 18 · Question 2 part a · 1 mark

2022 JUN · Paper 02 · extract 4 of 7 · find part a in this mark scheme extract

Question Number	Explain **one** reason why a business complies with health and safety legislation. **Answer**	**Mark**
2 (e)	**A01 - 3 marks** Award 1 mark for identification why a business complies with health and safety legislation plus 2 further marks for explaining this reason, for a maximum of 3 marks. • If a business does not comply with the laws given by the country **(1)** they could be fined/sued if there was an accident or someone was injured **(1)** and the business could be fined/closed down for not complying with the legislation **(1)** • It ensures all staff are protected against injuries **(1)** meaning less days are lots to illness **(1)** and reducing the need to get in temporary cover saving costs **(1)** NB No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 8 of 18 · Question 2 part a · 1 mark

2022 JUN · Paper 02 · extract 5 of 7 · find part a in this mark scheme extract

Question Number	**Option 1:** cost plus **Option 2:** skimming. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1 –** This is easy to apply and *LEGO* will know that the cost of manufacturing the Princess Leia toy is covered when sold • **Option 2 -** This means that the new Princess Leia toy is sold at a high price when it is released **AO3** • **Option 1** – As each new toy is sold *LEGO* will know that it is making a profit on each sale • **Option 2** - As each toy is sold it will have a high profit margin, if only a few toys are sold the profits would still be high because they know that as Star Wars toys are popular and will sell **AO4** • **Option 1** - However, even though this pricing strategy guarantees a profit, there is no guarantee that the toys will be sold as customer may wait until the price falls • **Option 2** - However, this strategy might limit the number of potential customers wanting to buy the product as the price is too high.	**(9)**

Type MS · Business objectives: financial, non-financial and social

Answer 8 of 18 · Question 2 part a · 1 mark

2022 JUN · Paper 02 · extract 6 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Business objectives: financial, non-financial and social

Answer 8 of 18 · Question 2 part a · 1 mark

2022 JUN · Paper 02 · extract 7 of 7 · find part a in this mark scheme extract

Question Number	Define the term **delegation**. **Answer**	Mark

Type MS · Business objectives: financial, non-financial and social

Answer 9 of 18 · Question 2 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 1 of 8 · find part a in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid non-financial objective for *M&M* in the context of the business. • *M&M* may want to continue to help the environment by planting even more trees **(1)** • *M&M* want to maintain the support it gives to the schools it runs, helping disadvantaged children **(1)** **NB** Do not accept a non-financial objective that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 9 of 18 · Question 2 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 8 · find part a in this mark scheme extract

Question Number	State **one** reason why *M&M* could dismiss an employee. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a reason why *M&M* could dismiss an employee in the context of the business. • *M&M* might dismiss an employee who continually arrives late on the tractor production line **(1)** • *M&M* may dismiss an employee in the sales department of tractors, whose absence has caused a loss of orders **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 9 of 18 · Question 2 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 8 · find part a in this mark scheme extract

Question Number	Explain **one** reason why branding is important to businesses. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for why branding is important to businesses plus 2 further marks for explaining the importance, for a maximum of 3 marks. • Branding is important because it differentiates the products of a business from others **(1)** this helps customers identify the brand they want **(1)** and maintains loyalty **(1)** • By branding its products manufacturers develop a strong image of the business' product **(1)** this could increase the price of products **(1)** resulting in the strong brand being worth a great deal of money **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why branding is important to a business, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 9 of 18 · Question 2 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 8 · find part a in this mark scheme extract

Question Number	Explain **one** way businesses ensure that all employees have equal opportunities. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why businesses ensure that all employees have equal opportunities, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Businesses ensure that they employ both men and women **(1)** and any training offered is open to everyone **(1)** so that they do not disadvantage any one **(1)** • Employees are paid the same salary **(1)** if they carry out the same or similar work **(1)** so that they do not discriminate in any way **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why business ensure that all employees have equal opportunities, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 9 of 18 · Question 2 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 8 · find part a in this mark scheme extract

Question Number	Explain **one** reason why businesses maintain the quality of their products. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why businesses maintain the quality of their products plus 2 further marks for explaining why, for a maximum of 3 marks. • Consumers expect quality products **(1)** and to perform the function for which they were bought **(1)** failure to do this could lose customers to competitors **(1)** • By offering quality goods **(1)** a business could gain a competitive edge **(1)** which could result in charging higher prices **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why businesses maintain the quality of products with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 9 of 18 · Question 2 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 6 of 8 · find part a in this mark scheme extract

Question Number	**Option 1:** Increase promotion of all vehicles **Option 2:** Make improvements to all vehicles. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By increasing promotion more people will know about *M&M* and the different types of vehicles they have on sale • **Option 2** – By introducing new features to the cars such as an automatic door locking customers may be interested in **AO3** • **Option 1** – This could mean that more people would be interested and perhaps visit the showrooms where the vehicle are sold to try the vehicles out or purchase them • **Option 2** – Customers may prefer to have the latest technology available **AO4** • **Option 1** – However, there is no guarantee that people will buy the vehicles unless they have driven them or been recommended to buy one • **Option 2** – However, designing this feature could be expensive and customers may not wish to buy the vehicle because of the increase in price	**(9)**

Type MS · Business objectives: financial, non-financial and social

Answer 9 of 18 · Question 2 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 7 of 8 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Business objectives: financial, non-financial and social

Answer 9 of 18 · Question 2 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 8 of 8 · find part a in this mark scheme extract

Question Number	Define the term **autonomy.** **Answer**	Mark

Type MS · Business objectives: financial, non-financial and social

Answer 10 of 18 · Question 1 part a.i · 1 mark

2023 JUN · Paper 02 · extract 1 of 7 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **C** Survival **A** - is incorrect as challenge is a non-financial objective **B** - is incorrect as social objectives is a non-financial objective **D** - is incorrect as personal satisfaction is a non-financial objective	**(1)**

Question Number	Which **one** of the following is an advantage to a business of using venture capital? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** It can receive expert advice **A** - is incorrect as venture capital increases access to other sources of finance **B** - is incorrect as venture capital does not keep ownership within the business **C** - is incorrect as public relations is not affected by venture capital	**(1)**

Question Number	Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **D** 129 955.00 SEK **A** - is incorrect 1 000 ÷ 6.58 = 151.98 SEK **B** – is incorrect 19.75 x 1 000 ÷ 6.58 = 3 001.52 SEK **C** - is incorrect 19.75 x 1 000 = 19 750 SEK	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 10 of 18 · Question 1 part a.i · 1 mark

2023 JUN · Paper 02 · extract 2 of 7 · find part a.i in this mark scheme extract

Question Number	Which **one** of the following is the correct markup? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **C** 15.79**%** **A** is incorrect because 4 400 ÷ 3 800 = 1.16% **B** is incorrect because 4 400 – 3 800 = 600 ÷ 4 400 x 100 = 13.64% **D** is incorrect because 4 400 ÷ 3 800 x 100 = 115.79%	**(1)**

Question Number	Which **one** of the following is Phase 3 of the product life cycle? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **D** Maturity **A** is incorrect because phase 4 is decline **B** is incorrect because phase 2 is growth **C** is incorrect because phase 1 is introduction	**(1)**

Question Number	Which **one** of the following are equal in a break-even graph? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** Total costs and revenue **A** is incorrect because fixed and variable costs do not indicate the revenue **B** is incorrect because fixed costs and revenue do not take into account variable costs **C** is incorrect because total costs and fixed costs do not take into account revenue	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 10 of 18 · Question 1 part a.i · 1 mark

2023 JUN · Paper 02 · extract 3 of 7 · find part a.i in this mark scheme extract

Question Number	Define the term **person specification.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **person specification.** • Details of the qualifications, experience in the person appointed **(1)**	**(1)**

Question Number	Define the term **quality control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **quality control.** • A product or service that meets the standard set by the business **(1)**	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 10 of 18 · Question 1 part a.i · 1 mark

2023 JUN · Paper 02 · extract 4 of 7 · find part a.i in this mark scheme extract

Question Number	State **one** reason why *IKEA* provides induction training for new employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *IKEA* provides induction training for new employees in the context of the business. • New employees are made familiar with the furniture they will be selling in their own *IKEA* stores **(1)** • Staff will know how to show customers how the flat packs for sale are assembled **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places the gross profit margin for 2020. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 11 725/37 368 x 100 **(1)** = 31.38 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Business objectives: financial, non-financial and social

Answer 10 of 18 · Question 1 part a.i · 1 mark

2023 JUN · Paper 02 · extract 5 of 7 · find part a.i in this mark scheme extract

Question Number	Explain **one** reason why businesses want to use resources effectively in manufacturing. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a reason why businesses want to use resources effectively plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Being effective in the use of resources reduces waste **(1)** this could decrease the amount of inventory held **(1)** thus lowering the expenses of the business **(1)** • If a business uses fewer machines to manufacture goods **(1)** this will make the business more efficient **(1)** allowing for greater productivity **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 10 of 18 · Question 1 part a.i · 1 mark

2023 JUN · Paper 02 · extract 6 of 7 · find part a.i in this mark scheme extract

Question Number	Analyse the benefits to *IKEA* of all its stores being franchises. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Franchises allow *IKEA* to sell its flat pack products of tables and wardrobes throughout the world • All franchisees pay a percentage of their profit to *IKEA* for the use of its name and furniture **AO3** • *IKEA* benefits because it has many retail stores selling furniture, creating wealth for the business • This allows *IKEA* to gain revenue from every franchised store making it more successful	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Business objectives: financial, non-financial and social

Answer 10 of 18 · Question 1 part a.i · 1 mark

2023 JUN · Paper 02 · extract 7 of 7 · find part a.i in this mark scheme extract

Question Number	State **one** reason why *IKEA* would employ temporary staff. **Answer**	**Mark**

Type MS · Business objectives: financial, non-financial and social

Answer 11 of 18 · Question 2 part b · 1 mark

2023 JUN · Paper 02 · extract 1 of 7 · find part b in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason of *IKEA* would employ temporary staff in the context of the business. • At a busy time of the year when a furniture sale is happening requiring more sales assistants **(1)** • If a delivery driver has a long-term illness, then a temporary driver would be required to take over the delivery of flat packed tables and chairs **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** financial objective *IKEA* might have. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a financial objective in the context of the business. • *IKEA* wants to increase its market share in the sale of furniture **(1)** • *IKEA* wants to survive in the competitive market of selling home goods **(1)** **NB** Do not accept a financial objective that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 11 of 18 · Question 2 part b · 1 mark

2023 JUN · Paper 02 · extract 2 of 7 · find part b in this mark scheme extract

Question Number	Explain **one** reason why cash flow forecasting is important to a business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for why cash flow forecasting is important to a business plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By using a cash flow forecast businesses can plan for the future **(1)** by estimating the amount of revenue coming in **(1)** and also the amount going out of the business **(1)** • By using a cash flow forecast a business can identify periods where there may be insufficient funds **(1)** to carry out the work required **(1)** so they can plan for that situation and make adjustments to enable survival **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why cash flow forecasting is important to a business, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 11 of 18 · Question 2 part b · 1 mark

2023 JUN · Paper 02 · extract 3 of 7 · find part b in this mark scheme extract

Question Number	Explain **one** reason why diseconomies of scale may occur. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why diseconomies of scale may occur, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • The business may become too large **(1)** which then demotivates employees **(1)** resulting in falling productivity levels **(1)** • The business relies more on bureaucracy **(1)** meaning that more time is spent in administration **(1)** resulting in decision making being slower **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why diseconomies of scale may occur, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 11 of 18 · Question 2 part b · 1 mark

2023 JUN · Paper 02 · extract 4 of 7 · find part b in this mark scheme extract

Question Number	Explain **one** reason why businesses continually design new products. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why businesses continually design new products plus 2 further marks for explaining why, for a maximum of 3 marks. • By designing new products, it keeps existing customer interested **(1)** this may mean that they will visit a store to see and purchase the new goods **(1)** increasing profit for the business **(1)** • Fashions constantly change **(1)** and if a business does not introduce new products **(1)** they may find that demand for their products decreases **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why businesses design new products with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 11 of 18 · Question 2 part b · 1 mark

2023 JUN · Paper 02 · extract 5 of 7 · find part b in this mark scheme extract

Question Number	**Option 1**: above the line promotion **Option 2:** below the line promotion. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – Using social media to advertise its wide range of chairs, may reach out to a worldwide audience • **Option 2** – By using coupons with a discount of 10% off purchasing any bedroom furniture **AO3** • **Option 1** – Social media advertising can target certain age groups and people, encouraging them to visit the stores • **Option 2** – Whilst visiting the store to use their discount vouchers they are more likely to see other goods such as lights to go in the bedroom and purchase them at the same time **AO4** • **Option 1** – However, not everybody uses social media so many people would not be aware of the advert to purchase furniture • **Option 2** – However, there is no guarantee that customers are going to use the coupon or even visit the store, so the advertising costs would be wasted	**(9)**

Type MS · Business objectives: financial, non-financial and social

Answer 11 of 18 · Question 2 part b · 1 mark

2023 JUN · Paper 02 · extract 6 of 7 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Business objectives: financial, non-financial and social

Answer 11 of 18 · Question 2 part b · 1 mark

2023 JUN · Paper 02 · extract 7 of 7 · find part b in this mark scheme extract

Question Number	Define the term **overdraft.** **Answer**	Mark

Type MS · Business objectives: financial, non-financial and social

Answer 12 of 18 · Question 2 part b · 1 mark

2023 NOV · Paper 02 · extract 1 of 7 · find part b in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for one task that the human resources would carry out at *Kraft Heinz* when recruiting an employee in the context of the business. • Human resources would carry out interviews to recruit a Graphic Designer for the new baked beans advertisement **(1)** • It would look after the welfare of employees working in the tomato sauce factory **(1)** **NB** Do not accept a reason that is not in the context of *Kraft Heinz.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** financial objective *Kraft Heinz* might have. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a financial objective *Kraft Heinz* might have in the context of the business. • *Kraft Heinz* might want to increase its profit by increasing the number of different sauces they sell **(1)** • *Kraft Heinz* may want to increase its market share by introducing new products such as cool whip to New Zealand **(1)** **NB** Do not accept a financial objective that is not in the context of *Kraft Heinz* **Accept any other appropriate response.**	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 12 of 18 · Question 2 part b · 1 mark

2023 NOV · Paper 02 · extract 2 of 7 · find part b in this mark scheme extract

Question Number	Explain **one** reason why some businesses use crowdfunding as a source of finance. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for a reason why some businesses use crowdfunding as a source of finance plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Using crowdfunding can be a fast way to raise finance **(1)** from many investors **(1)** who may do this for the success of the business **(1)** • Crowdfunding is organised online **(1)** and can come from anywhere in the world **(1)** giving access to a wide number of investors **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why some businesses use crowdfunding as a source of finance, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 12 of 18 · Question 2 part b · 1 mark

2023 NOV · Paper 02 · extract 3 of 7 · find part b in this mark scheme extract

Question Number	Explain **one** disadvantage to a business of using retained profits to purchase goods and services. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a disadvantage to a business of using retained profit to purchase goods and services, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Using retained profit reduces the amount of funds available for the business to use. **(1)** If there is an emergency where funds are needed such as a machine breaking down **(1)** the business may not have the funds to get it repaired **(1)** • By using its retained profit to purchase new machinery **(1)** the business may not have the funds **(1)** to pay the rent or wages of employees **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages to a business of using retained profits to purchase goods and services, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 12 of 18 · Question 2 part b · 1 mark

2023 NOV · Paper 02 · extract 4 of 7 · find part b in this mark scheme extract

Question Number	Explain **one** reason why the quality of goods manufactured by a business is important to its success. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why the quality of goods manufactured by a business is important to its success plus 2 further marks for explaining why, for a maximum of 3 marks. • Manufacturing quality goods can lead to a good reputation for the business **(1)** thus encouraging more people to purchase the goods **(1)** which increases the sales for the business **(1)** • Increased competition from other businesses is why quality is important **(1)** the higher the quality of goods can increase customer purchases **(1)** which will then increases the profits of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why the quality of goods manufactured by a business is important to its success with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 12 of 18 · Question 2 part b · 1 mark

2023 NOV · Paper 02 · extract 5 of 7 · find part b in this mark scheme extract

Question Number	*Kraft Heinz* constantly aims to promote its products to encourage people to increase sales. To do this *Kraft Heinz* is considering using the following techniques. **Option 1**: sponsorship of a local charity **Option 2:** increasing the number of special offers. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By sponsoring a local charity such as Animal Rescue gains *Kraft Heinz* publicity and involvement in the local community • **Option 2** – By increasing the special offers for its sauces it may encourage more people to purchase its products **AO3** • **Option 1** – Customers seeing notices of the charity event may then want to support *Kraft Heinz* • **Option 2** – This improves its sales and keeps *Kraft Heinz* ahead of its competitors **AO4** • **Option 1** – However, there is no guarantee that because an event has been sponsored by *Kraft Heinz* people will purchase its products • **Option 2** – However, special offers may help increase sales but they can cost *Kraft Heinz* additional costs which might not be recovered	**(9)**

Type MS · Business objectives: financial, non-financial and social

Answer 12 of 18 · Question 2 part b · 1 mark

2023 NOV · Paper 02 · extract 6 of 7 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Business objectives: financial, non-financial and social

Answer 12 of 18 · Question 2 part b · 1 mark

2023 NOV · Paper 02 · extract 7 of 7 · find part b in this mark scheme extract

Question Number	Define the term **public limited company.** **Answer**	Mark

Type MS · Business objectives: financial, non-financial and social

Answer 13 of 18 · Question 2 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason why *Café Pinch* might set business objectives in the context of the business • It will give Kumaran the motivation to make his business a success as he tries to meet the business objectives he set **(1)** **NB** Do not accept a reason that is not in the context of *Café Pinch.* **Accept any other appropriate response**	**(1)**

Question Number	State **one** way *Café Pinch* could use the Boston matrix to review its product portfolio. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid way *Café Pinch* could use the Boston matrix to review its product portfolio in the context of the business • *Cafe Pinch* could identify which of its Ciabattas are dog products and take them off the menu **(1)** **NB** Do not accept a way that is not in the context of *Café Pinch.* **Accept any other appropriate response**	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 13 of 18 · Question 2 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** responsibility of the human resources function. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a responsibility of the human resources function, plus 2 further marks for explaining this responsibility for a business, for a maximum of 3 marks • Recruitment and selection of employees **(1)** that includes placing job adverts/interviewing/appointing candidates **(1)** leading to the most suitable applicant going through **(1)** NB Answers that list three responsibilities with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** advantage of being in a partnership. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of an advantage of being in a partnership, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • Each partner can bring their own experience and expertise **(1)** specialising in their own area of skill **(1)** thus increasing the chances of its success **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only **Accept any other appropriate response**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 13 of 18 · Question 2 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** disadvantage to a business of having a hierarchical organisational structure. **Answer**	**Mark**
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a disadvantage of having a hierarchical organisational structure, plus 2 further marks for explaining that disadvantage, for a maximum of 3 marks. • Communication through many layers can be difficult **(1)** there is a long chain of command **(1)** possibly leading to slow decision making **(1)** NB Answers that list three disadvantages with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 13 of 18 · Question 2 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	*Café Pinch is* considering two options: **Option 1:** introduce a vegan range of products **Option 2:** a special offer of 7.5% off to customers on Wednesday mornings 9am – 12pm Justify which **one** of these two options *Café Pinch* should choose **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – Introducing a vegan range addresses a new market for the café • **Option 2** – Giving a 7.5% discount can draw more customers into the cafe at a time when it might not be busy **AO3** • **Option 1** – This new range of products could lead to an increase in sales with limited upfront costs if it adapts the current menu to make it vegan friendly • **Option 2** – As this 7.5% discount is only for one morning, it may draw more customers to them at that time instead of their competitors as long as the offer is promoted well **AO4** • **Option 1** – However, whilst this might draw in more customers *Café Pinch* needs to ensure it spends some time researching the products its customers want as well as what the competitors nearby are selling • **Option 2** – However, despite this leading to a potential increase in competitiveness as *Café Pinch* is only small, they may not be able to cope with the increased demand at this time and it could lead to a decrease in competitiveness as customers may go elsewhere	**(9)**

Type MS · Business objectives: financial, non-financial and social

Answer 13 of 18 · Question 2 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Business objectives: financial, non-financial and social

Answer 13 of 18 · Question 2 part a · 1 mark

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
	Define the term **secondary sector.**	

Type MS · Business objectives: financial, non-financial and social

Answer 14 of 18 · Question 2 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 1 of 7 · find part a in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a non-financial objective *Jimmy Choo* might have in the context of the business. • *Jimmy Choo* might want a social objective of being able to support a local charity near to its shops by giving unsold shoes to local charities **(1)** • *Jimmy Choo* wants to remain independent and in control of how its shoe shops are run **(1)** **NB** Do not accept a non-financial objective that is not in the context of *Jimmy Choo*. Accept any appropriate response	**(1)**

Q. No.	State **one** reason why *Jimmy Choo* complies with health and safety laws. **Answer**	**Mark**
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Jimmy Choo* complies with health and safety laws in the context of the business. • *Jimmy Choo* complies with the laws so that all the employees feel safe whilst working in its shoe factories **(1)** • All employees in the maintenance of the shoe factory should be trained and wear protective clothing to reduce the risk of accidents when working on sewing machines **(1)** **NB** Do not accept a reason that is not in the context of *Jimmy Choo.* Accept any appropriate response	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 14 of 18 · Question 2 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 2 of 7 · find part a in this mark scheme extract

Q. No.	Explain **one** advantage to a country of being a member of a trading bloc. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for an advantage to a country being a member of a trading bloc, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Being a member of a trading bloc gives access to other markets within the trading bloc. **(1)** This means that prices between the countries will be competitive **(1)** as there will be no additional costs involved **(1)** • It gives a wider choice of goods for consumers **(1)** as the goods move freely with limited trade restrictions **(1)** from one country to another country **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to a country being a member of a trading bloc, with no explanation will get a maximum of 1 mark. Accept any appropriate response.	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 14 of 18 · Question 2 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 3 of 7 · find part a in this mark scheme extract

Q. No.	Explain one way businesses support employees with disabilities. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one way businesses support employees with disabilities, plus 2 further marks for explaining the benefits, for a maximum of 3 marks. • Businesses aim to ensure that they do not discriminate against disabled employees **(1)** employing a person who has limited mobility **(1)** means that the business may have to make reasonable adjustments to the premises **(1)** • If an employee has a disability, this should not affect their promotion prospects **(1)** if they apply for an internal promotion **(1)** so that they are treated the same as the other candidates **(1)** **NB** No marks are awarded for a definition. Answers that list three ways with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 14 of 18 · Question 2 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 4 of 7 · find part a in this mark scheme extract

Question Number	Explain **one** impact on a business of an increase in interest rates. **Answer**	**Mark**
2 (e)	**A01 - 3 marks** Award 1 mark for one impact on a business of an increase in interest rates plus 2 further marks for explaining why, for a maximum of 3 marks. • An increase in interest rates could lead to an increase in financing costs for a business. **(1)** This could lead to a reduction in profits **(1)** and affect the growth/expansion of a business **(1)** • An increase in interest rates may mean customers have less money to spend **(1)** this may mean that they will only buy the essentials they need **(1)** and a business may see a reduction in its revenue **(1)** **NB** No marks are awarded for a definition. Answers that list three impacts on a business of an increase in interest rates with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 14 of 18 · Question 2 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 5 of 7 · find part a in this mark scheme extract

Q. No.	**Option 1:** casual employees **Option 2:** part-time employees. Justify which **one** of these two options *Jimmy Choo* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – Some employees like the option of being 'on call' to work when there is an emergency or they are short of employees for the production of handbags • **Option 2** – College or University students wanting to work during the summer holidays, producing clothes they like to wear would be grateful for the opportunity to work **AO3** • **Option 1** – This means that they do not have a full-time job and can do other tasks like looking after their children or family members • **Option 2** – This means that *Jimmy Choo* can employ workers for a certain period of time without the commitment of full-time permanent contract **AO4** • **Option 1** – However, casual employees do not get any guarantee of work from *Jimmy Choo* and this may make them lack commitment to do their work when they are employed • **Option 2** – However, there is no guarantee that the part-time employees can work the hours or have the skills that *Jimmy Choo* needs	**(9)**

Type MS · Business objectives: financial, non-financial and social

Answer 14 of 18 · Question 2 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 6 of 7 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Business objectives: financial, non-financial and social

Answer 14 of 18 · Question 2 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 7 of 7 · find part a in this mark scheme extract

Q. No.	Define the term **person specification.** **Answer**	Mark

Type MS · Business objectives: financial, non-financial and social

Answer 15 of 18 · Question 1 part a.i · 1 mark

2024 JUN · Paper 02 · extract 1 of 6 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B -** Personal satisfaction **A** – is not the correct answer as generating wealth is a financial objective **C** - is not the correct answer as maximising profit is a financial objective **D** - is not the correct answer as regular income is a financial objective	**(1)**

Q. No.	Which **one** of the following would be a benefit to a business delaying paying its suppliers? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **A -** Improved cash flow **B** – is not the correct answer as profit would not be greater if you delayed paying suppliers **C** - is not the correct answer as suppliers would want more interest on the outstanding amount **D** - is not the correct answer as delaying payment would have the opposite effect on suppliers	**(1)**

Q. No.	Which **one** of the following would be the total monthly cost for *Jewellery For You*?	**Mark**
1 (a) (iii)	**AO1 - 1 mark** The only correct answer is **B -** €3 480 **A** – is not the correct answer as €924 is 27 x 12 + 600 **C** - is not the correct answer as €6 480 is 240 x 27 **D** - is not the correct answer as €7 080 is 240 x 27 + 600	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 15 of 18 · Question 1 part a.i · 1 mark

2024 JUN · Paper 02 · extract 2 of 6 · find part a.i in this mark scheme extract

Q. No.	Which **one** of the following is a reason why a business would produce a cash flow forecast? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** The only correct answer is **C -** It can help a bank decide whether it should lend money to a business **A** – is not the correct answer as it is not a legal requirement that a business has a cash flow forecast **B** – is not the correct answer as a cash flow forecast does not ensure that the business will be successful **D** - is not the correct answer as a forecast does not show the profit and loss of a business in the past six months	**(1)**

Q. No.	Which **one** of the following was the cost of the holiday in Thai Baht? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** The only correct answer is **C -** 40 828.18 **A** – is not the correct answer as 24.20 is 998 ÷ 40.91 **B** – is not the correct answer as 1038.91 is 998 + 40.91 **D** - is not the correct answer as 40 869.09 is 998 x 40.91 + 40.91	**(1)**

Q. No.	Which **one** of the following is a reason why a sole trader would want to become a private limited company? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** The only correct answer is **D -** Increased ability to raise finance **A** – is not the correct answer as the business would have to publish its financial records so therefore not confidential **B** – is not the correct answer as the private limited company would have limited liability **C** - is not the correct answer as shareholders are not liable for all debts	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 15 of 18 · Question 1 part a.i · 1 mark

2024 JUN · Paper 02 · extract 3 of 6 · find part a.i in this mark scheme extract

Q. No.	Define the term **franchise**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **franchise** • A business allows another operator to trade under its name **(1)**	**(1)**

Q. No.	Define the term **profit**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • Funds that are left over after all costs have been subtracted from the revenue **(1)**	**(1)**

Q. No.	State **one** reason why *TUI* pays its employees above the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *TUI* pays its employees above the minimum wage in the context of the business • By *TUI* paying its employees above the minimum wage they are more likely to remain with *TUI* and their knowledge of cruises and holidays will not be lost **(1)** • Employees will feel more valued and gain more knowledge and experience of the travel industry that they could pass on to potential customers **(1)** **NB** Do not accept a reason that is not in the context of *TUI.* Accept any appropriate response	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 15 of 18 · Question 1 part a.i · 1 mark

2024 JUN · Paper 02 · extract 4 of 6 · find part a.i in this mark scheme extract

Q. No.	Calculate the total price of a holiday for **two** adults with a 12.5% promotional discount for booking online. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 725.92 x 2 = 1451.84 1451.84 x 0.125 = 181.48 **(1)** 1451.84 – 181.48 = 1270.36 **(1)** **OR** 725.92 x 0.875 = 635.18 **(1)** 635.18 x 2 = 1270. 36 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** of the factors in Herzberg's motivational theory. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the theory, for a maximum of 3 marks. • One is called a hygiene factor **(1)** where employees are paid for their work **(1)** which means employees gain security knowing they can pay their bills **(1)** • One is called a motivator factor **(1)** employees gain achievement in their work **(1)** which allows them to grow and develop **(1)** **NB** No marks are awarded for a definition. Answers that list three factors with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Business objectives: financial, non-financial and social

Answer 15 of 18 · Question 1 part a.i · 1 mark

2024 JUN · Paper 02 · extract 5 of 6 · find part a.i in this mark scheme extract

Q. No.	Analyse the benefits for *TUI* from including health and safety training for its employees in their induction training. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Employees working in one of the travel agencies will know what to do if there is an emergency, such as an employee injuring themselves after falling • Employees will be aware of any dangers by ensuring that all computer wires in the agencies are securely fastened to floors and walls so that no one can trip over them **AO3** • They will be able to make decisions quickly as to how to deal with the situation, by knowing where the first aid kit for plasters or bandages • Thus, avoiding any accidents and *TUI* being sued by employees	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Business objectives: financial, non-financial and social

Answer 15 of 18 · Question 1 part a.i · 1 mark

2024 JUN · Paper 02 · extract 6 of 6 · find part a.i in this mark scheme extract

Q. No.	State **one** possible reason why *TUI* would want to keep its customers loyal. **Answer**	**Mark**

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Capital intensive** **A –** Kaizen - this is not correct because it is a method of lean production **B** – Job production - this is not correct because it is usually labour intensive **C** – Just-in-time - this is not correct because this is a method of lean production	**(1)**

Question Number	Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Penetration** **A –** Skimming **-** this is not correct because it is when a business charges a high price to begin with **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **D –** Cost plus - this is not correct because it is adding a mark-up to the product	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 16 of 18 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.iv in this mark scheme extract

Question Number	Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **(1)** Select **one** answer **The only correct answer is B – Paying suppliers later** **A** – Paying overhead costs sooner - this is not correct because it will increase the cash outflow **C** – Increasing the rate of pay for its employees- this is not correct because it will increase the cash outflow **D** –Decreasing the net cash flow - this is not correct because this means increased cash outflows compared to cash inflows	**(1)**

Question Number	Which **one** of the following is a financial business aim? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Survival** **A –** Challenge - this is not correct because it is a non-financial business aim **B –** Independence - this is not correct because it is a non-financial business aim **D –** Control - this is not correct because it is a non-financial business aim	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 16 of 18 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a.iv in this mark scheme extract

Question Number	Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 30 855.00 CNY** **A –** 550.00 CNY - this is not correct because it is the cost of one electric bicycle in £ **B –** 3 300.00 CNY - this is not correct because it is £550 x 6 bicycles **C –** 5 142.50 CNY - this is not correct because it is £550 x the exchange rate of 9.35	**(1)**

Question Number	Using **Figure 1** which **one** of the following is correct for *CCT*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of 412 658 CYN** **A –** it made a loss of 1 031 646 CYN - this is not correct because it is the total costs **B –** it made a loss of 412 658 CYN - this is not correct because it is the total costs minus revenue **D –** it made a profit of 1 031 646 CYN - this is not correct because it is the total costs	**(1)**

Question Number	Define the term **branding**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **branding**. • A name or logo that distinguishes it from its competition **(1)**	**(1)**

Type MS · Business objectives: financial, non-financial and social

Answer 16 of 18 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.iv in this mark scheme extract

Question Number	Define the term **autonomy**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Employees are given the authority to make decisions about how they work **(1)**	**(1)**

Question Number	State **one** method of secondary market research *CCT* could use to collect market data. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method of secondary market research *CCT* could use to collect market data. • The internet to search for other bicycle-hire businesses in the local area **(1)** **NB** Do not accept a way that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to **two** decimal places, the current ratio for 2024. You are advised to show your working **Answer**	**Additional guidance**	Mark
1 (e)	**A02 - 2 marks** 561 258/ 233 098 **(1)** = 2.41 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Business objectives: financial, non-financial and social

Answer 16 of 18 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.iv in this mark scheme extract

Question Number	Explain **one** benefit to the business owner of operating as a private limited company. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a benefit to an owner of a private limited company, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • A private limited company has limited liability **(1)** which reduces the risk of ownership **(1)** as personal possessions will be protected in the event the business has to pay back any outstanding debts **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the concerns *CCT* may have of introducing this app for its customers. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers might be reluctant to download the app for a one-off biking experience • It can be costly for *CCT* to introduce an app where customers can book the bicycles. **AO3** • Its customers may have a lot of apps on their phones and might not see the point of downloading another one if they are only using it for a short amount of time whilst on holiday • *CCT* may not have the experience to create an app so may need to pay a designer to build the app and pay someone to maintain the app	**(6)**

Type MS · Business objectives: financial, non-financial and social

Answer 16 of 18 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a.iv in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** financial method of motivation *CCT* could use with its employees. **Answer**	Mark

Type MS · Business objectives: financial, non-financial and social

Answer 17 of 18 · Question 1 part a.i · 1 mark

2025 NOV · Paper 02 · extract 1 of 8 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 – 1 mark** **The only correct answer is A – Survival** **B** – is not the correct answer as independence is a non-financial aim of a business **C** - is not the correct answer as control is a non-financial aim of a business **D** -is not the correct answer as challenge is a non-financial aim of a business	**(1)**

Q. No.	Which **one** of the following is a job in the secondary sector? **Answer**	Mark
1 (a) (ii)	**AO1 – 1 mark** **The only correct answer is D – Ship builder** **A** – is not the correct answer as a farmer works in the primary sector **B** - is not the correct answer as a grocery store manager works in the tertiary sector **C** - is not the correct answer as a restaurant waiter works in the tertiary sector	**(1)**

Q. No.	Which **one** of the following is the total daily remuneration cost for the three factories? **Answer**	Mark
1 (a) (iii)	**AO2 – 1 mark** **The only correct answer is D – €57 000** **A** - is not the correct answer as €15 000 is 125 x €120 **B** - is not the correct answer as €16 800 is 140 x €120 **C** - is not the correct answer as €25 200 is 210 x €120	**(1)**

4

Type MS · Business objectives: financial, non-financial and social

Answer 17 of 18 · Question 1 part a.i · 1 mark

2025 NOV · Paper 02 · extract 2 of 8 · find part a.i in this mark scheme extract

Q. No.	Which **one** of the following is an advantage of a hierarchical organisational structure? **Answer**	Mark
1 (a) (iv)	**AO1 – 1 mark** **The only correct answer is C – It has more job promotion opportunities for its employees** **A** – is not the correct answer as it is more expensive than a flat organisation structure **B** – is not the correct answer because a flat structure has a short chain of command **D** - is not the correct answer because a flat structure has a wide span of control	**(1)**

Q. No.	Which one of the following is the net cash flow for this month? **Answer**	Mark
1 (a) (v)	**AO2 – 1 mark** **The only correct answer is B – €25 000** **A** – is not the correct answer as €17 000 is the opening balance minus the cash inflow **C** – is not the correct answer as €42 000 is the opening balance minus cash outflow **D** - is not the correct answer as €101 000 is the opening balance plus cash inflow minus cash outflow	**(1)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Business objectives: financial, non-financial and social

Answer 17 of 18 · Question 1 part a.i · 1 mark

2025 NOV · Paper 02 · extract 3 of 8 · find part a.i in this mark scheme extract

Q. No.	Which **one** of the following best describes Taylor's motivational theory? **Answer**	Mark
1 (a) (vi)	**AO1 – 1 mark** **The only correct answer is A – workers are motivated by money** **B** – is not the correct answer as esteem needs relate to Maslow's theory of motivation **C** – is not the correct answer as hygiene factors relate to Herzberg's theory of motivation **D** - is not the correct answer as working in a team relates to Maslow's theory of motivation	**(1)**

6

Type MS · Business objectives: financial, non-financial and social

Answer 17 of 18 · Question 1 part a.i · 1 mark

2025 NOV · Paper 02 · extract 4 of 8 · find part a.i in this mark scheme extract

Q. No.	Define the term **job rotation.** **Answer**	Mark
1 (b)	**AO1 – 1 mark** Award 1 mark for a correct definition of **job rotation**. • Employees spending a period of time in different jobs/departments **(1)**	**(1)**

Q. No.	Define the term **interest rate**. **Answer**	Mark
1 (c)	**AO1 – 1 mark** Award 1 mark for a correct definition of **interest rate.** • A percentage charged for borrowing money/reward for saving money **(1)**	**(1)**

Q. No.	State **one** job that an employee of *Samsung* might do in the production department. **Answer**	Mark
1 (d)	**AO2 – 1 mark** Award 1 mark for a job that an employee of *Samsung* may do in the production department • A *Samsung* employee may work on the production line that makes laptops **(1)** • A *Samsung* employee may be responsible for the quality control of the TV's **(1)** **NB** Do not accept a reason that is not in the context of *Samsung* Accept any appropriate response	**(1)**

7

Type MS · Business objectives: financial, non-financial and social

Answer 17 of 18 · Question 1 part a.i · 1 mark

2025 NOV · Paper 02 · extract 5 of 8 · find part a.i in this mark scheme extract

Q. No.	Calculate the factory's productivity of smartphones per hour. You are advised to show your working **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 – 2 marks** Award 2 marks for the correct answer 50 **(2)** **OR** award 1 mark for workings if final answer is incorrect 1000 / 20 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain one advantage to a business of mass marketing. **Answer**	**Mark**
1 (f)	**A01 – 3 marks** Award 1 mark for identification of an advantage to a business of mass marketing, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • More sales may be generated **(1)** as the product is promoted to a large number of people **(1)** which may improve the profitability of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

8

Type MS · Business objectives: financial, non-financial and social

Answer 17 of 18 · Question 1 part a.i · 1 mark

2025 NOV · Paper 02 · extract 6 of 8 · find part a.i in this mark scheme extract

Q. No.	Analyse how recruitment documents may help *Samsung* to hire the best employees for its business **Indicative content**	Mark
1 (g)	**AO2 = 3 marks** **AO3 = 3 marks** **AO2** • *Samsung* can review the information contained in the curriculum vitae (CV) of the applicants to consider the previous experience of the design engineers • *Samsung* can use a person specification to stipulate the education and skills required by the recruits to manufacture and design TV's and smartphones **AO3** • The CV can be used by *Samsung* to decide if the applicant experience match the requirements of jobs in its business. • This should lead to *Samsung* only receiving applications from people who have the skills required to help them compete in the electronics market	**(6)**

9

Type MS · Business objectives: financial, non-financial and social

Answer 17 of 18 · Question 1 part a.i · 1 mark

2025 NOV · Paper 02 · extract 7 of 8 · find part a.i in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

10

Type MS · Business objectives: financial, non-financial and social

Answer 17 of 18 · Question 1 part a.i · 1 mark

2025 NOV · Paper 02 · extract 8 of 8 · find part a.i in this mark scheme extract

Q. No.	State **one** reason why *Samsung* may need long-term finance. **Answer**	**Mark**

Type MS · Business objectives: financial, non-financial and social

Answer 18 of 18 · Question 4 part c · 12 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

4 (a)	**A02 - 2 marks** 34 000 x 0.02 = 680 **(1)** 680 x 12 = 8 160 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Business objectives: financial, non-financial and social

Answer 18 of 18 · Question 4 part c · 12 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Analyse how this could affect its business. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • Employees in the clothing workshop will be able to discuss different manufacturing techniques/designs for the jumpers • A major advantage of Kaizen is efficiency. Kaizen may help to improve the quality of children's clothing. **AO3** • This helps create innovative ideas for *AWG* which will help them to stand out from other competitors selling clothing • This may result in attracting more customers who are seeking sustainable and long-lasting items of clothing.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Business objectives: financial, non-financial and social

Answer 18 of 18 · Question 4 part c · 12 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Evaluate the impact on *AWG* of having these social objectives when planning to grow the business. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Social objectives aim to benefit society • Social objectives focus on ethical factors other than profit **AO2** • *AWG* encourage families to re-use clothing made from natural materials and reduce waste in society • In the workshops at *AWG* waste is kept to a minimum and spare material is used to make hats and scarves **AO3** • This may enable *AWG* to meet the needs and wants of customers who care about the environment and are seeking a sustainable range of clothing • Minimising waste may enable *AWG* to reduce its costs and pass on the cost savings to its customers to encourage more sales **AO4** • However, it may be more costly to use natural material which may result in a high price for the jumpers and dresses. This may discourage some people from buying the clothes resulting in slow growth for the business • However, many people in society may not be concerned about social objectives and the environment. They may be more concerned about current fashion which may lead to a decrease in sales revenue for *AWG*.	**(12)**

Type MS · Business objectives: financial, non-financial and social

Answer 18 of 18 · Question 4 part c · 12 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Business objectives: financial, non-financial and social

Answer 18 of 18 · Question 4 part c · 12 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Business objectives: financial, non-financial and social

Answer 18 of 18 · Question 4 part c · 12 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

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